

VENDOR PERFORMANCE EVALUATION POLICY

Revision: 1.0

Issue Status: A

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Vendor Performance Evaluation Policy - 1.0

1. Purpose

The purpose of this policy is to establish a systematic approach for evaluating the performance of onboarded vendors. This ensures that vendors meet contractual obligations and maintain quality standards.

2. Scope

This policy applies to all vendors providing products or services to Ideas2it Technology Services Private Limited. It covers the evaluation process, criteria, frequency, and responsibilities involved.

3. Evaluation Criteria

The following criteria will be used to assess vendor performance:

- **Quality of Products/Services:** Evaluation of the quality and reliability of the goods or services provided.
- **Timeliness of Delivery:** Assessment of whether the vendor meets agreed-upon delivery schedules.
- **Pricing and Cost-Effectiveness:** Review of pricing structures and overall value for money.
- **Customer Service and Support:** Evaluation of responsiveness, communication, and problem resolution.
- **Compliance and Certifications:** Verification of adherence to legal, regulatory, and industry standards.
- **Innovation and Flexibility:** Assessment of the vendor's ability to adapt to changes and provide innovative solutions.
- **Financial Stability:** Evaluation of the vendor's financial health and sustainability.

4. Evaluation Process

1. **Data Collection:** Gather performance data through:
 - Regular reports
 - Feedback from internal Management
 - Employees feedback (if applicable)
 - Site visits (if necessary)
2. **Performance Review Meetings:** Schedule regular meetings (quarterly, bi-annually) with Management to discuss vendor performance and issues.

3. **Scoring System:** Implement a scoring system (e.g., 1-10) for each criterion. Define clear guidelines for scoring.
4. **Documentation:** Maintain records of evaluations, including scores, feedback, and any corrective actions taken.
5. **Feedback Loop:** Share evaluation results with vendors to provide constructive feedback and areas for improvement.

5. Frequency of Evaluation

- **Initial Evaluation:** Conduct a detailed evaluation after the first three months of onboarding.
- **Ongoing Evaluations:** Perform evaluations at least bi-annually or annually, depending on the vendor's criticality.

6. Responsibilities

- **Vendor Manager:** Oversee the evaluation process, ensuring data is collected and meetings are held.
- **Procurement Team:** Collaborate in gathering data and providing insights on vendor performance.
- **Management :** Provide feedback and participate in performance review discussions.

7. Performance Improvement Plan

If a vendor's performance falls below acceptable levels, the following steps will be taken:

1. **Identification of Issues:** Clearly identify performance issues and areas for improvement.
2. **Corrective Action Plan:** Collaborate with the vendor to develop a plan for improvement with specific timelines.
3. **Follow-Up Evaluations:** Monitor progress and conduct follow-up evaluations to assess improvements.

8. Termination Clause

Vendors that consistently fail to meet performance standards may be subject to contract termination. The decision to terminate will be based on documented performance evaluations and efforts to rectify issues.

9. Review of Policy

This policy will be reviewed annually to ensure it remains effective and aligned with organizational goals.

Implementation Plans

- **Training:** Provide training to relevant staff on how to conduct evaluations and use the scoring system.
- **Management Involvement:** Involve various departments to get a holistic view of vendor performance.
- **Flexibility:** Allow room for adjustments in criteria and process based on changing organizational needs.

EX: Vendor Evaluation/Performance Sheet

Criteria	Weight	Vendor A	Comments
Quality of Products/Services	25%		
Pricing	20%		
Delivery Timeliness	20%		
Customer Service	15%		
Compliance & Certifications	10%		
Innovation & Flexibility	5%		
Financial Stability	5%		
Total Score	100%		

Scoring Guidelines

- **1-3:** Poor performance
- **4-6:** Satisfactory performance
- **7-8:** Good performance
- **9-10:** Excellent performance

Instructions

1. **Fill in each vendor's scores** for the criteria listed based on your evaluation.
2. **Multiply the score by the weight** to get the weighted score for each criterion.
3. **Sum the weighted scores** to get the total score for each vendor.
4. **Add comments** to provide qualitative feedback on each vendor's performance.

